



Asia Insights

Global Markets Research

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Economics - Asia ex-Japan

China: Weak April activity data suggest the Q1 rebound was short-lived

China's NBS just released its April activity data, with broad-based disappointment. Industrial production (IP) growth fell sharply to 4.1% y-o-y in April from 5.7% in March, far below the market consensus of 6.0% but close to our forecast of 5.2%. Retail sales plummeted to 0.2% y-o-y in April from 1.7% in March, well below market expectations (Consensus and Nomura: 2.0%). Fixed-asset investment growth (FAI) collapsed to -8.0% y-o-y in April from 1.6% in March, far below market expectations (Consensus: 1.7%; Nomura: 2.0%).

The weakness in IP growth, which is in real terms, was not a big surprise to us, as about half of headline **export growth** of 14.1% y-o-y in April was accounted for by surging prices of chips and electronic products. The once-again worsening domestic demand lends support to our view of **a great divide** which prevents Beijing from allowing a too-fast RMB appreciation. The divide also explains why, despite a rise in stock indices and an AI boom, China's **credit demand** was so weak and its 10y CGB yields dropped by 10bp so far this year despite no policy rate cuts. We believe that the AI boom alone won't get China out of the economic woes brought about by the property bust; the deflation over the past few of months was mainly due to external shocks, Beijing has no room for complacency, and Beijing might need to step up policy support for stabilizing growth. We maintain our below-consensus Q2 GDP growth forecast at 4.1% (Consensus: 4.7%), and we expect some of our competitors to reconsider their overly optimistic growth forecasts again.

Details of the industrial production data

Headline IP growth fell sharply to 4.1% y-o-y in April from 5.7% in March (Q1: 6.1%), far below market consensus of 6.0% but close to our forecast of 5.2%. The sharp slowdown was not a big surprise to us, as about half of the strong headline export growth of 14.1% y-o-y in April was accounted for by surging prices of chips and electronic products amid the AI boom. Due to the price effect, growth of export-delivered value increased further to 10.6% y-o-y in April from 8.7% in March (Q1: 7.1%). In other words, the surging prices might have suppressed demand, leading to weak production. Apart from the weak demand, the number of working days was 21 this April, vs 22 a year ago, which was also negative for IP growth. In sequential, seasonally adjusted terms, month-over-month IP growth dropped to 0.05% in April from 0.28% in March (April 2025: 0.16%).

By major sector, output growth of the manufacturing and mining sectors dropped to 4.0% and 3.8% y-o-y, respectively, in April from 6.0% and 5.7% in March (Q1: 6.4% and 6.0%), while output growth of the utility sector increased to 5.3% from 3.5% (Q1: 4.3%). In line with higher growth in the utility sector, growth of electricity production rose to 2.6% y-o-y in April from 1.4% in March (Q1: 3.4%).

On major construction raw materials, output growth of crude steel and cement remained negative in April, at -2.8% y-o-y and -10.8%, respectively, albeit narrowing from -6.3% and -21.0% in March (Q1: -4.6% and -7.1%).

Raw coal output growth fell to -1.0% y-o-y in April from 0.0% y-o-y in March (Q1: 0.1%).

Due to the supply disruption amid the Middle East tensions, output growth of crude oil processing volume dropped further to -5.8% y-o-y in April from -2.2% in March (Q1: 1.1%; 2025: 4.1%).

On electronic products, output growth of PCs worsened to -9.3% y-o-y in April from -8.4% in March (Q1: -8.4%), while output growth of smartphones rebounded to 4.7% from -2.7% (Q1: 6.9%).

Output growth of integrated circuits (IC) accelerated to 22.1% y-o-y in April from 20.6% in March (Q1: 24.3%). The solid output growth appears inconsistent with weaker exports, as IC export growth dropped to 3.7% y-o-y in April from 12.9% in March (Q1: 13.4%), in

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volume terms.

Amid the anti-involution campaign to curb supply, output growth of solar panels dropped further to -25.6% y-o-y in April from -20.6% y-o-y in March (Q1: -12.4%).

Auto output growth fell to -2.6% y-o-y in April from -0.1% in March (Q1: -5.7%), while according to CPCA, volume growth of passenger car output rose to -1.8% y-o-y in April from -4.9% in March (Q1: -9.2%). As domestic markets still contribute about 70% of overall auto sales, the deep contraction in domestic auto sales will likely continue to weigh on auto output, despite the export strength.

Details of the retail sales data

Retail sales growth fell short of expectations (Consensus and Nomura: 2.0%) by dipping to 0.2% y-o-y in April from 1.7% in March. Using April CPI inflation of 1.2% y-o-y as a proxy deflator, real retail sales growth turned negative at -1.0% y-o-y in April from 0.7% in March, marking the first negative print since December 2022. The drop in retail sales growth was broad-based across categories, reflecting payback effects from the scaled-back trade-in program and negative price effects on petroleum and consumer electronic products as households curtailed purchases amid surging energy and chip prices.

Auto sales growth in value terms dipped further to -15.3% y-o-y in April from -11.8% in March. The deterioration in value terms was consistent with the volume growth reported by the China Passenger Car Association (CPCA). According to the CPCA, passenger car sales growth in volume terms worsened to -20.0% y-o-y in April from -12.0% in March. We also observed renewed price cuts among automakers and dealers amid mounting domestic demand pressures, following some temporary price improvements in early 2026.

Merchandise sales growth excluding autos turned negative at -0.7% y-o-y in April from 3.3% in March, marking the first negative print since December 2022. The deterioration was primarily driven by home appliances, petroleum products, communication appliances, and office appliances.

- Retail sales growth in home appliances worsened to -15.0% y-o-y in April from -5.0% in March, weighed down by payback effects from *the scaled back trade-in program*, despite the deployment of RMB62.5bn in central funding for Q2 in April.
- Retail sales growth in petroleum products turned negative at -6.5% y-o-y in April from 0.1% in March, following a series of price hikes on retail petroleum conducted by NDRC in response to surging global oil prices.
- Retail sales growth in communication appliances and office appliances dropped notably to 6.2% y-o-y and -6.9% in April, respectively, from 27.3% and 15.0% in March, driven by both payback effects from the trade-in program and negative price effects as households and corporates reduced purchases as surging memory chip prices passed through to final selling prices.

Catering services growth continued to decline to 2.2% y-o-y in April from 2.9% in March. Growth in sales by designated restaurants with annual revenue above RMB2mn dropped more notably to 0.9% y-o-y in April from 2.0% in March. This likely reflects both lingering effects from the anti-involution campaign imposed last year and weak household purchasing power and consumer sentiment.

FAI growth plunged back into negative territory in April

FAI growth fell sharply and back to negative territory again at -8.0% y-o-y in April from 1.6% in March, returning to contraction after only three months of positive growth in Q1. The result significantly undershot market expectations (Consensus: 1.7%; Nomura: 2.0%). By sector, the plunge was mixed, with contractions recorded in both manufacturing FAI and infrastructure FAI. FAI growth in the property sector also slumped further and remained in deeply negative territory, continuing to be the primary drag.

Manufacturing investment growth dropped to -4.3% y-o-y in April from 4.9% in March. The April Politburo meeting placed renewed focus on the ongoing "anti-involution" campaign, which has intensified significantly since July 2025 and likely continued to weigh on manufacturing FAI growth in April. Notably, the slump occurred despite robust export growth in the same month, suggesting that policy-driven capacity restraint is probably overriding external demand signals.

Based on our calculations, FAI growth in the motor vehicle sector – now predominantly EVs – decreased sharply to -10.4% y-o-y in April from 6.5% in March. However, FAI growth in the electrical machinery and equipment sector, which includes both lithium-ion batteries and solar modules, rebounded notably to positive territory to 7.6% y-o-y in April from -3.7% in March, presenting a somewhat conflicting picture of the anti-involution drive's sectoral reach.

Furthermore, FAI growth in the railways, ships, aerospace and other transport equipment category – which has been one of the most notable drivers of manufacturing growth over the past two years – moderated slightly to a still-robust 17.8% y-o-y in April from 24.9% in March.

Infrastructure investment growth also dropped to negative territory to -3.7% y-o-y in April from 8.9% in March. Issuance of special LGBs – which are a key funding source for infrastructure – was notably slower in April than during the same period last year, which may partly explain the abrupt deceleration.

By ownership type, FAI across state-controlled entities turned negative at -6.3% y-o-y in April from 6.6% in March, while private enterprise FAI deteriorated sharply to -11.2% from -1.9%. The breadth of the weakness across both ownership categories underscores the severity of the April slowdown.

The property contraction deepened again in April

Property investment growth collapsed to -20.1% y-o-y in April from -11.3% in March, far worse than market expectations (Consensus: -12.3; Nomura: -11.1%). New home sales pointed to a divergence between large and small cities. By floor space, new home sales growth worsened to -9.5% y-o-y in April from -7.5% in March, while in value terms, new home sales growth rose to -7.7% from -13.4%. For other major property indicators, growth of new home starts, new home completions and funds for property investment were recorded at -26.6%, -18.8% and -21.8% y-o-y, respectively, in April, compared with -17.4%, -19.0% and -18.7%, in March (Q1: -21.2%, -26.2% and -17.0%).

The narrowing of home price decline paused in April

Average new home prices declined by -0.19% m-o-m in April, narrowing marginally from a 0.21% decrease in March. Existing home prices, which might better reflect the trend of home prices in China, declined by 0.23% m-o-m in April, almost unchanged from a 0.24% decrease in March. Among the NBS sample of 70 cities, 12 cities experienced month-on-month increases in existing home prices in April, edging down from 13 in March. By city tier, the change in average existing home prices in tier-1 cities was unchanged at 0.4% m-o-m in April from March. Positive gains were reported across all tier-1 cities again in April: 0.4% m-o-m in Beijing (March: 0.6%), 0.7% in Shanghai (0.4%), 0.2% in Guangzhou (0.2%), and 0.3% in Shenzhen (0.4%). In tier-2 and tier-3/4 cities, home price declines were largely unchanged in April, at -0.10% m-o-m and -0.35%, respectively, compared with -0.13% and -0.36% in March.

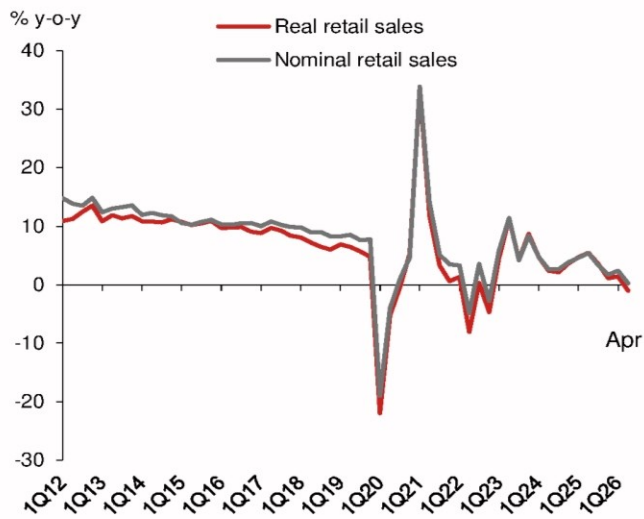
The April home price data are largely in line with the Iceberg index, a leading indicator based on the lowest listing housing prices, which recorded a 0.4% m-o-m decline in *April*, following the 0.6% decrease in March. The Iceberg index weekly data indicated a decline of 0.3% m-o-m in the first two weeks of May, little changed from the 0.4% decline in April. Despite some *green shoots* in housing markets of top-tier cities, in particular Shanghai, we believe a mild recovery in existing home markets has limited implications for new home markets, and the recovery in existing home markets in Shanghai alone has limited implications for existing home markets in most other cities.

Fig. 1: China's major economic indicators

Indicators	Unit	Apr 26	Mar 26	Q1 26	Q4 25	2025	2024
Economic survey							
Official mfg PMI	Index	50.3	50.4	49.6	49.4	49.6	49.8
Official non-mfg PMI	Index	49.4	50.1	49.7	49.9	50.2	50.9
RatingDog mfg PMI	Index	52.2	50.8	51.1	50.2	50.3	50.8
Activity							
Industrial production (IP)	% y-o-y	4.1	5.7	6.1	5.0	5.9	5.8
Crude steel output (volume)	% y-o-y	-2.8	-6.3	-4.6	-11.1	-4.4	-1.7
Steel product output (volume)	% y-o-y	-1.7	-2.3	-1.7	-2.4	3.1	1.1
Electricity production (volume)	% y-o-y	2.6	1.4	3.4	3.6	2.2	4.6
Non-ferrous metal output (volume)	% y-o-y	2.8	2.2	3.6	4.2	3.9	4.3
Cement output (volume)	% y-o-y	-10.8	-21.0	-7.1	-10.2	-6.9	-9.5
Auto output (volume)	% y-o-y	-2.6	-0.1	-5.7	3.6	9.8	4.8
Retail sales	% y-o-y	0.2	1.7	2.4	1.7	3.7	3.5
Merchandise excl. auto & catering	% y-o-y	-0.7	3.3	3.4	4.2	4.9	3.8
Auto	% y-o-y	-15.3	-11.8	-9.1	-6.6	-1.5	-0.5
Catering	% y-o-y	2.2	2.9	4.2	3.1	3.2	5.3
Delivered value for exports (RMB)	% y-o-y	10.6	8.7	7.1	0.3	2.2	5.1
Fixed asset investment (FAI) ytd	% y-o-y	-8.0	1.7	1.7	-3.8	-3.8	3.2
FAI	% y-o-y	-13.7	1.6	1.7	-12.8	-3.8	3.2
Infrastructure investment	% y-o-y	-3.7	8.9	9.2	-13.4	-1.5	9.2
Manufacturing investment	% y-o-y	-4.3	4.9	4.1	-7.3	0.6	9.2
Inflation							
CPI	% y-o-y	1.2	1.0	0.9	0.6	0.0	0.2
Food price	% y-o-y	-1.6	0.3	0.4	-0.5	-1.5	-0.6
Non-food price	% y-o-y	1.8	1.2	0.9	0.8	0.4	0.4
PPI	% y-o-y	2.8	0.5	-0.6	-2.1	-2.6	-2.2
Trade							
Exports (USD)	% y-o-y	14.1	2.5	14.7	3.8	5.5	5.8
Imports (USD)	% y-o-y	25.3	27.8	22.7	3.1	0.1	1.0
Trade balance	USD bn	85	51	264	314	1185	993
Money and credit							
Outstanding aggregate financing	% y-o-y	7.8	7.9	7.9	8.3	8.3	8.0
Outstanding RMB loan	% y-o-y	5.6	5.7	5.7	6.4	6.4	7.6
M0	% y-o-y	12.2	12.5	12.5	10.2	10.2	13.0
M1	% y-o-y	5.0	5.1	5.1	3.8	3.8	1.2
M2	% y-o-y	8.6	8.5	8.5	8.5	8.5	7.3
New aggregate financing	RMB bn	625	5,227	14,829	5,518	35,603	32,259
New RMB loan	RMB bn	-10	2,990	8,600	1,520	16,270	18,090
Corporate bond	RMB bn	452	391	1,047	819	2,392	1,909
Government bond	RMB bn	904	1,166	3,544	2,376	13,837	11,295
Fiscal position							
Fiscal revenue	% y-o-y		6.9	2.4	-7.9	-1.7	1.3
Fiscal expenditure	% y-o-y		1.0	2.6	-4.2	1.0	3.7
Revenue from land sales	% y-o-y		-22.6	-24.4	-24.3	-14.7	-16.0
Property market							
Property investment ytd	% y-o-y	-13.7	-11.2	-11.2	-17.2	-17.2	-10.6
Property investment	% y-o-y	-20.1	-11.3	-11.2	-29.5	-17.2	-10.6
Property sales (value)	% y-o-y	-7.7	-13.4	-17.8	-24.1	-12.6	-17.1
Floor space sold	% y-o-y	-9.5	-7.5	-11.4	-16.9	-8.7	-12.9
Floor space started	% y-o-y	-26.6	-17.4	-21.2	-25.3	-20.4	-23.0
Funds for property development	% y-o-y	-21.8	-18.7	-17.0	-27.7	-13.4	-17.0
New home completion	% y-o-y	-18.8	-19.0	-26.2	-21.0	-18.1	-27.7
Homes under construction	% y-o-y	-12.1	-11.7	-11.7	-10.0	-10.0	-12.7

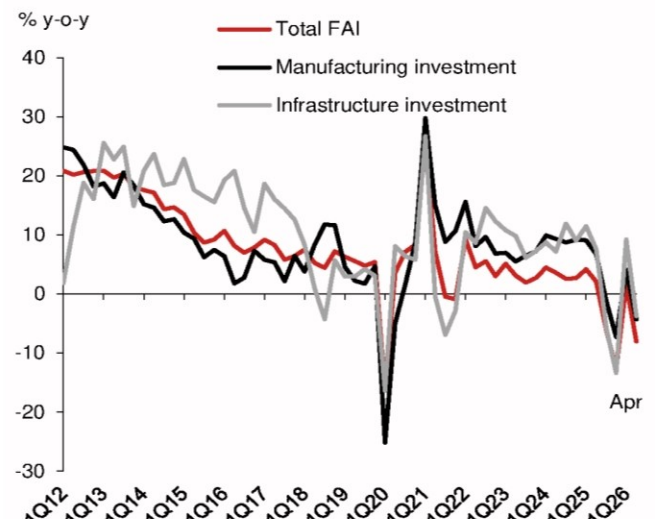
Source: Wind, Nomura Global Economics.

Fig. 2: Retail sales growth: real vs nominal (quarterly)



Source: Wind, Nomura Global Economics.

Fig. 3: FAI growth and breakdown (quarterly)



Source: Wind, Nomura Global Economics.

Fig. 4: Breakdown in retail sales growth

Categories in retail sales	Share		% y-o-y					
	% of retail sales	% of above-size						
			2025	Apr 26	Mar 26	Q1 26	Q4 25	2025
Total retail sales	100.0			0.2	1.7	2.4	1.7	3.7
Catering services	11.4			2.2	2.9	4.2	3.1	5.3
Goods	88.6			-0.1	1.5	2.2	1.5	3.8
Firms above designated size	36.3	100.0		-4.9	1.2	2.0	-0.9	3.4
Autos	10.3	28.4		-15.3	-11.8	-9.1	-6.6	-1.5
Petroleum products	4.9	13.5		-6.5	0.1	-6.4	-8.3	-5.7
Food	4.5	12.3		4.1	9.5	10.0	6.4	9.3
Garments & footwear	3.0	8.3		3.6	7.0	9.3	3.5	3.2
Home appliances	2.1	5.8		-15.1	-5.0	0.0	-17.6	11.0
Daily necessities	1.7	4.6		3.5	4.6	5.9	3.4	6.3
Medicines	1.5	4.0		4.2	5.7	2.4	3.2	1.8
Communication appliances	1.6	4.5		6.2	27.3	20.8	21.6	20.9
Tobacco & liquor	1.3	3.5		11.7	7.7	16.0	-0.7	2.7
Office appliances	0.9	2.4		-6.9	15.0	9.3	11.5	17.3
Cosmetics	0.9	2.5		4.7	8.3	5.9	8.2	5.1
Gold & jewelry	0.7	1.9		-21.3	11.7	12.6	17.3	12.8
Beverages	0.7	1.8		3.6	8.2	6.7	3.9	1.0
Decoration materials	0.3	1.0		-13.8	-9.0	-4.7	-12.4	-2.7
Furniture	0.3	1.0		-10.4	-8.7	1.9	1.2	14.6
Sports & entertainments	0.3	0.8		-8.0	-2.0	1.9	6.5	15.7

Source: Wind, Nomura Global Economics.

Appendix A-1

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